Why your sales stopped growing, and what to do next

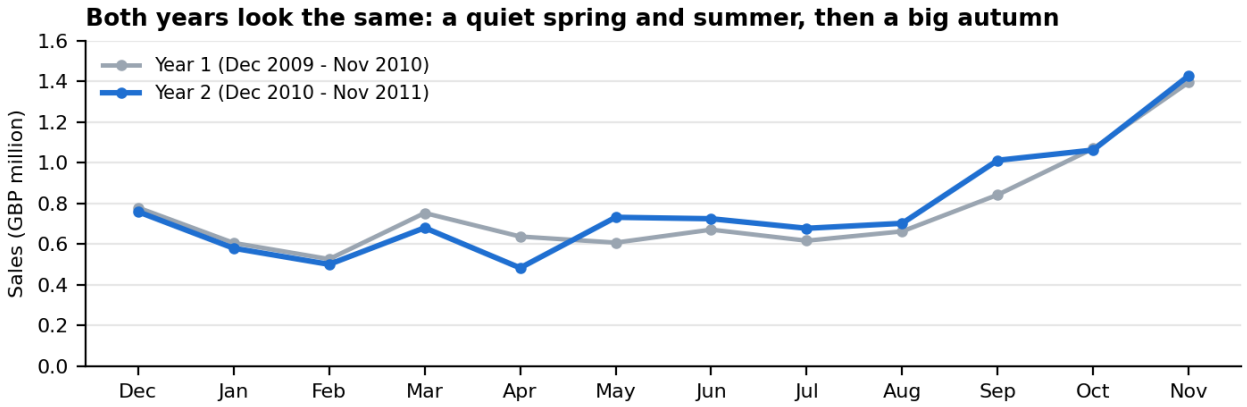
One-page summary for the shop owner | Orders from Dec 2009 to 9 Dec 2011 | All money in British pounds

The short answer

You are right: sales are flat. Year 2 brought in **1.9% more** than year 1 (£9.33M vs £9.16M, counted after cancellations). The problem is not one weak product. Your sales depend on **a few strong months, a small group of loyal customers and one country**, while a long tail of products sells almost nothing.

What we found

- **Autumn carries the year.** September to November brings about 37% of the yearly sales. January to August is much quieter.
- **Your best customers matter a lot.** About 1 in 4 customers (those with an account ID) bring 61% of all sales. Four customers alone bring about 9%.
- **Customers do come back, but not for long.** 72% order more than once, yet only about 1 in 5 new customers is still buying 3 months after the first order.
- **Products:** your 10 best sellers bring only 7.6% of sales, so no single product holds the shop. The best 10% of products (about 490) bring 62%, and the weakest 20% (about 980) bring just 0.3%.
- **The UK is 85% of sales.** Ireland comes next, but it comes from only 3 customers. The Netherlands has 22 customers who place very large orders (about £2,500 each).
- **Cancellations are small:** about 3.6% of sales. Two huge orders were cancelled in full and are not counted as sales.



What we recommend

1	**Look after your best customers first.** This month, contact your top 20 customers personally and the 470 who used to order often but stopped ("At risk"). Offer them an early look at the autumn range. The full list is in the Excel file, sheet "Customers".
2	**Prepare the autumn early.** Have stock and promotions ready by the end of August. Then try one promotion in the quiet months (January to August) and compare the results with this year.
3	**Tidy the range before adding products.** Check the weakest 980 products for clearance or bundles, and put your marketing time behind products that already sell. This answers the question "add more products or push the best sellers": do the second first.

What this analysis cannot tell you

There is no cost data, so "best selling" means most sales, not most profit. There is no marketing data, so we cannot say why a month went up or down. About 14% of sales have no customer ID and are left out of the customer numbers. The data stops on 9 December 2011, so December 2011 is not used in year comparisons.

You also receive: an interactive dashboard (filters for time, country and customer group) and an Excel file with every number used here.